CASCADIA ANALYTICS

EnerSys

Equity Research Note | ENS | 22 OCTOBER 2026

Mispriced

EnerSys screens as a Buy with a $193.92 blended target, 17% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$166.08	$193.92	+17%	BUY

Investment Thesis

Mispriced. Market prices ENS as a cyclical forklift battery company at 3.1% implied growth; A&D backlog (+27%) and AI data center power demand are not credited. Margin expansion. IRC 45X production credits are recorded in cost of sales ($158.6M in FY2026, 4.2% of revenue) and the Q1 FY27 GAAP operating margin was 16.2%. The credits run at the full rate through 2029 and phase out from 2030, which is the named risk to the terminal margin. Risk/reward. +17% upside to $194.11 base against -15% to the $140.43 bear

- Mispriced
- Margin expansion
- Risk/reward

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

The latest print

Margin expansion. IRC 45X production credits are recorded in cost of sales ($158.6M in FY2026, 4.2% of revenue) and the Q1 FY27 GAAP operating margin was 16.2%. The credits run at the full rate through 2029 and phase out from 2030, which is the named risk to the terminal margin.

Risk/reward. +17% upside to $194.11 base against -15% to the $140.43 bear case; 1.3x leverage and $218M quarterly FCF provide downside protection.

$935.6M	16.2%	$217.8M	1.3x EBITDA	+27%	$0.2625/qtr
REVENUE (Q1 FY27)	OPERATING MARGIN (GAAP)	FREE CASH FLOW (Q)	NET LEVERAGE	A&D BACKLOG	DIVIDEND

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q1 FY27)	$935.6M	+4.8%	Up
Operating Margin (GAAP)	16.2%	+~700 bps	Up
Free Cash Flow (Q)	$217.8M	Strong	Up
Net Leverage	1.3x EBITDA	Down	Down
A&D Backlog	+27%	Accelerating	Up
Dividend	$0.2625/qtr	Stable	Flat

The moat

A&D backlog conversion: Specialty segment +27% backlog, munitions +230% YTD converting to revenue

The growth engine

AI data center backup power: rising rack density drives hyperscale battery demand

Three scenarios make the valuation range explicit

Three scenarios frame the range; the blended target balances the three outcomes.

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.
EnerSys valuation framework · Generated 22 October 2026
Current version: cascadia.jda-properties.com/#/ticker/ENS

SCENARIO	2027-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	2.0%	$4.14B	12.0%	**$140.43**	-15%
Base	6.0%	$5.02B	14.5%	**$194.11**	+17%
Bull	9.0%	$5.77B	16.5%	**$247.01**	+49%

Bear: downside case at $140.43 (-15%).

Base: central case at $194.11 (+17%).

Bull: upside case at $247.01 (+49%).

CASCADIA ANALYTICS

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.
EnerSys valuation framework · Generated 22 October 2026
Current version: cascadia.jda-properties.com/#/ticker/ENS

The probability-blended target implies 17% upside

The blended target implies +17% from the $166.08 reference price, balancing the Bear, Base and Bull outcomes in the scenario matrix.

$193.92
BLENDED TARGET

The valuation uses a multi-year discounted cash flow framework across three scenarios. Discount rates are market-implied and updated from live market inputs. The scenario matrix above states what each scenario assumes in growth and margin terms and what it produces: horizon revenue, enterprise value, equity value and the per-share target.

We judge a scenario by whether its growth and margin posture is supported by the filed record and the company's own guidance, and we disclose below how much of each scenario's value sits in the terminal year, because that share is where the valuation risk concentrates.

Reference price	**$166.08**
Bear target	**$140.43**
Base target	**$194.11**
Bull target	**$247.01**
Blended target	**$193.92**
Terminal value share of Base enterprise value	**75.1%**

BUY | $193.92 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

The market-implied revenue CAGR is 3.1%, between Bear (2%) and Base (6%) — cautious.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR. The highlighted row sits nearest the market-implied CAGR.

CASCADIA ANALYTICS

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
+0%	$5.8B	$145.66	+20%	$13.1B	$350.00	+40%	$27.0B	$735.60
+1%	$6.0B	$152.82	+21%	$13.6B	$364.25	+41%	$28.0B	$761.35
+2%	$6.3B	$160.26	+22%	$14.2B	$378.95	+42%	$28.9B	$787.82
+3%	**$6.6B**	**$167.97**	+23%	$14.7B	$394.12	+43%	$29.9B	$815.02
+4%	$6.9B	$175.96	+24%	$15.3B	$409.78	+44%	$30.9B	$842.96
+5%	$7.2B	$184.26	+25%	$15.9B	$425.92	+45%	$31.9B	$871.67
+6%	$7.5B	$192.85	+26%	$16.5B	$442.57	+46%	$33.0B	$901.17
+7%	$7.8B	$201.76	+27%	$17.1B	$459.74	+47%	$34.1B	$931.45
+8%	$8.1B	$210.98	+28%	$17.7B	$477.43	+48%	$35.2B	$962.55
+9%	$8.5B	$220.53	+29%	$18.4B	$495.66	+49%	$36.4B	$994.48
+10%	$8.8B	$230.43	+30%	$19.1B	$514.45	+50%	$37.6B	$1,027.25
+11%	$9.2B	$240.67	+31%	$19.8B	$533.80	+51%	$38.8B	$1,060.88
+12%	$9.6B	$251.26	+32%	$20.5B	$553.73	+52%	$40.0B	$1,095.40
+13%	$10.0B	$262.22	+33%	$21.2B	$574.25	+53%	$41.3B	$1,130.80
+14%	$10.4B	$273.56	+34%	$22.0B	$595.38	+54%	$42.6B	$1,167.13
+15%	$10.8B	$285.28	+35%	$22.8B	$617.12	+55%	$43.9B	$1,204.38
+16%	$11.2B	$297.39	+36%	$23.6B	$639.50	+56%	$45.3B	$1,242.58
+17%	$11.7B	$309.91	+37%	$24.4B	$662.52	+57%	$46.7B	$1,281.75
+18%	$12.2B	$322.85	+38%	$25.3B	$686.20	+58%	$48.2B	$1,321.91
+19%	$12.6B	$336.21	+39%	$26.1B	$710.56			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$5.57B	-$508M	$5.06B	**$140.43**
Base	$7.50B	-$508M	$7.00B	**$194.11**
Bull	$9.41B	-$508M	$8.90B	**$247.01**

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.
EnerSys valuation framework · Generated 22 October 2026
Current version: cascadia.jda-properties.com/#/ticker/ENS

Terminal value share

We disclose how much of each scenario value sits in the terminal year. Terminal value is 75.1% of Base enterprise value (Bear 73.0%, Bull 76.2%). A high terminal share means the target rests primarily on the terminal-year economics in the scenario matrix rather than on the explicit forecast years, and we weigh it accordingly in the investment view.

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031
Bear	$140.43	$152.30	$155.81	$159.44	$162.23	$165.03
Base	$194.11	$210.52	$217.99	$224.92	$231.14	$237.05
Bull	$247.01	$267.90	$279.04	$289.43	$298.79	$307.41

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $193.92 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

CASCADIA ANALYTICS

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

The franchise deep dive

A&D backlog conversion: Specialty segment +27% backlog, munitions +230% YTD converting to revenue

AI data center backup power: rising rack density drives hyperscale battery demand

IRC 45X tax credits: structural FCF uplift from domestic manufacturing

Revenue and margin trend

METRIC	FY2022	FY2023	FY2024	FY2025	FY2026	LTM
Revenue ($B)	3.36	3.71	3.58	3.62	3.75	3.79
Gross Margin	n/a	n/a	n/a	n/a	n/a	n/a
Op Margin (GAAP, latest qtr)	n/a	n/a	n/a	~10%	~13%	16.2%
FCF Margin	n/a	n/a	n/a	n/a	n/a	~19%

Valuation cross-check

Forward P/E 11.7x

PEG 0.91x

EV/EBITDA ~8x

FCF yield ~13%

Cheap on all absolute metrics; DCF implies +17% upside to the base case.

Industrial peers trade 10-14x EV/EBITDA

ENS at a discount despite A&D mix shift; re-rating candidate.

Forward P/E 11.7x below 5-yr average

Near trough multiple as market prices industrial weakness.

What to monitor

Jan 2027. Q3 FY27 Earnings (Positive): A&D conversion pace and margin trajectory.

2027. Hyperscale Design Wins (Positive): Data center backup power contracts.

2027. 45X Credit Clarity (Two-Sided): Durability of tax benefit under policy review.

CASCADIA ANALYTICS

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.
EnerSys valuation framework · Generated 22 October 2026
Current version: cascadia.jda-properties.com/#/ticker/ENS

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$3.0B	$739M	$216M	—
2022	$3.4B	$750M	$206M	—
2023	$3.7B	$840M	$278M	$361M
2024	$3.6B	$983M	$352M	$434M
2025	$3.6B	$1.1B	$465M	$559M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$3.5B	$1.9B	$1.5B	$452M
2022	$3.7B	$2.2B	$1.5B	$402M
2023	$3.6B	$2.0B	$1.6B	$347M
2024	$3.5B	$1.7B	$1.8B	$333M
2025	$4.0B	$2.1B	$1.9B	$343M

CASCADIA ANALYTICS

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.
EnerSys valuation framework · Generated 22 October 2026
Current version: cascadia.jda-properties.com/#/ticker/ENS

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$358M	$-70M	$-189M	$288M
2022	$-66M	$-74M	$98M	$-140M
2023	$280M	$-89M	$-270M	$191M
2024	$457M	$-86M	$-371M	$371M
2025	$260M	$-121M	$90M	$139M

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $193.92 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

CASCADIA ANALYTICS

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.
EnerSys valuation framework · Generated 22 October 2026
Current version: cascadia.jda-properties.com/#/ticker/ENS

Agency risk score 58 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 1.32% of shares outstanding. Form 4 filings over the trailing six months show $24.7K of open-market purchases against $0 of sales, a net flow of $24.7K. One-year total shareholder return is +36.7% against CEO total pay of $2.62M (Mr. Shawn M. O'Connell), which the model scores as PERFORMANCE EARNED.

58
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	1.32% of shares held by insiders
Form 4 Flow (Conviction Flow)	24 / 30	Buys $24.7K (1) vs sales $0 (0), net $24.7K, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +36.7%; Mr. Shawn M. O'Connell, President, COO, CEO & Director, total pay $2.62M
Agency Risk Score	**58 / 100**	Regime: BALANCED / TYPICAL CORPORATE

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-05-29	Funk Andrea J.	Chief Financial Officer	BUY	108	$24.7K

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.
EnerSys valuation framework · Generated 22 October 2026
Current version: cascadia.jda-properties.com/#/ticker/ENS

SEC proxy audit, DEF 14A filed 2026-07-02

Alignment grade C. NEW CEO TRANSITION IN FY2026. Shawn M. O'Connell, fiscal 2026 vs fiscal 2025; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

Shawn M. O'Connell assumed the role of President and CEO on May 23, 2025, succeeding prior executive leadership during fiscal year 2026. The provided filing excerpt contains introductory governance and director election disclosures but omits the Summary Compensation Table and CD&A sections. A complete review of the full DEF 14A is required to quantitatively assess base salary, incentive payouts, and alignment with shareholder returns.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1289308/000119312526294512/d32071ddef14a.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 24 October 2026 for this note.

CASCADIA ANALYTICS

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.

The bear case

Industrial cyclicality

Motive Power exposed to warehouse/manufacturing capex; deep recession pressures volumes.

Lead price volatility

Key input cost; spikes compress margins if not passed through.

Defense budget shifts

US spending priority changes could slow A&D backlog conversion.

The strengths

Operating Quality

16.2% GAAP operating margin in Q1 FY27 (filed fiscal-year margins were single digits before FY2025), 19% LTM FCF margin, 1.3x net leverage. Narrow-wide moat via switching costs and TPPL technology. The margin level includes IRC 45X production credits ($136.4M in FY2024, $184.6M in FY2025, $158.6M in FY2026, recorded in cost of sales); on an adjusted basis the FY2026 operating margin was about 14.4%, the level the Base terminal margin carries forward.

Recent Trend

Revenue +4.8% YoY (modest), but margins expanding materially and FCF surging to $217.8M. A&D backlog inflection offsets Motive Power softness.

Forward Growth

A&D backlog +27% (munitions +230% YTD), AI data center power density tailwinds, 45X credits. Base case 6% revenue CAGR is achievable.

Valuation

Forward P/E 11.7x is cheap vs the market; PEG 0.91 signals growth at a reasonable price. Trades at a discount to industrial peers on EV/EBITDA.

Cascadia scorecard

Composite score 73: Attractive. Confidence High, as of 23-Oct-2026.

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.
EnerSys valuation framework · Generated 22 October 2026
Current version: cascadia.jda-properties.com/#/ticker/ENS

PILLAR	RATIONALE	SCORE
Operating Quality	16.2% GAAP operating margin in Q1 FY27 (filed fiscal-year margins were single digits before FY2025), 19% LTM FCF margin, 1.3x net leverage. Narrow-wide moat via switching costs and TPPL technology. The margin level includes IRC 45X production credits ($136.4M in FY2024, $184.6M in FY2025, $158.6M in FY2026, recorded in cost of sales); on an adjusted basis the FY2026 operating margin was about 14.4%, the level the Base terminal margin carries forward.	78
Recent Trend	Revenue +4.8% YoY (modest), but margins expanding materially and FCF surging to $217.8M. A&D backlog inflection offsets Motive Power softness.	72
Forward Growth	A&D backlog +27% (munitions +230% YTD), AI data center power density tailwinds, 45X credits. Base case 6% revenue CAGR is achievable.	75
Valuation	Forward P/E 11.7x is cheap vs the market; PEG 0.91 signals growth at a reasonable price. Trades at a discount to industrial peers on EV/EBITDA.	72
Catalysts & Risk	Catalysts: A&D backlog conversion, hyperscale design wins, 45X durability. Risks: industrial cyclicality, lead price volatility, defense budget shifts.	68

Investment view

Motive Power book-to-bill above 1.0x for two quarters signals the industrial trough has passed (bullish). Specialty revenue growth below 10% undermines the A&D thesis (bearish). Net leverage above 2.5x constrains buyback and dividend (bearish).

Investment view: Buy. The $193.92 blended target implies +17%, balancing the $140.43 / $194.11 / $247.01 Bear / Base / Bull outcomes.

CASCADIA ANALYT

This material is for informational and discussion purposes only and is not investment advice or a recommendation to buy or sell any security. Forecasts and valuation outputs are inherently uncertain.